IGUA-SA

Industrial Gas Users Association - Southern Africa



Detailed Document

Gas Roadmap for South Africa

2025–2042

A strategic pathway to secure, sustainable, and diversified gas supply for industrial growth and energy transition

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For enquires about this document, contact:

Jaco Human – IGUA-SA Executive Officer

Email: jaco.human@igua-sa.org

Website: igua-sa.org

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A critical juncture for SA energy

In the immediate term, we need to first and foremost bridge the crisis facing us: South Africa's gas cliff. We need to urgently define a gas energy demand profile for South Africa and secure gas energy through demand aggregation over a shared-risk platform. Industry will continue to advance the GasHub aggregator model, but to support the demand stack required to make progress in this regard it is vital that we reach short-term decisions around gas to power and the sequencing of gas corridor demand with industrial demand. This requires the development of appropriate risk-sharing models.

It requires work between government and the private sector – now.

At the same time we need to develop policy to support our long-term energy security. A Gas Master Plan must function as a medium-term policy position, and policy must be integrated across the Integrated Resource Plan, industry and logistics functions. This requires us to prioritise domestic and regional gas opportunities to maximise economic impact and properly assess the feasibility of West Coast Gas monetisation.

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01 GAS ROADMAP IN CONTEXT

Natural gas presents one of the most immediate and powerful levers for South Africa's industrial and economic renewal. If the country executes a balanced supply solution—combining imported LNG with accelerated development of domestic and regional gas resources—it can secure a foundation for stable energy, reindustrialisation, and long-term growth.

A competitive gas supply could unlock up to **3% additional annual GDP growth by the late 2030s**, restore energy reliability for key industries, and enable lower-carbon, dispatchable power generation to complement renewables. The gas economy already contributes around **R700 billion (8% of GDP)** and supports **75 000 direct jobs**, with significant multiplier effects across mining, manufacturing, logistics, and construction. The sector's economic multiplier of 2.7 times, employment multiplier of six times, and dependency ratio of 7–10 people per job illustrate its vast socio-economic reach. With coordinated policy execution, gas could re-ignite industrial output, catalyse investment, and help deliver South Africa's Just Energy Transition objectives through a stable and affordable energy mix.

However, this potential will only be realised if the country acts decisively—now—**to avoid the approaching gas cliff**. Existing supply from Mozambique's Pande-Temane fields will cease by mid-2028, and Sasol's methane-rich gas can only bridge the gap for roughly two years thereafter. Without a government-led, financially backed, and coordinated national effort, South Africa faces a cascading energy and GDP crisis. The loss of industrial gas supply would force plant closures, trigger widespread job losses, and erode investor confidence, driving the economy toward a "GDP cliff".

The gas shortfall is not inevitable—it is a solvable national challenge. Success depends on **urgent alignment between government and industry** to aggregate demand, provide sovereign or state-sponsored guarantees through blended-finance and shared-risk platforms, and commit to executable LNG and regional gas development programmes. Central to this is the creation of a Presidency-mandated National Gas Task Team empowered to deliver an integrated action plan by 2026 that bridges the short term (Mozambique LNG)

> ***"Natural gas is often described as a transition fuel. In South Africa, it is not merely a bridge, but a pillar in a diversified and pragmatic approach to energy planning, particularly in the context of industrialisation, job creation and spatial economic transformation.***
>
> ***Kgosientsho Ramokgopa***
> ***South Africa's Minister of Electricity and Energy***

1.1. The need for political sponsorship

Political sponsorship and leadership to address this challenge are, however, not yet evident. The response to the gas cliff remains fragmented, with no clearly empowered national vehicle to align priorities, resources, and timelines.

The first and most critical step to avert the gas cliff is for Government—through the Office of the Presidency—to create national alignment by establishing a dedicated, full-time Gas Task Team and Project Management Office, co-sponsored by public and private stakeholders. This team must operate at ministerial and executive level, with the authority to coordinate departments, regulators, state entities, and industry participants across the entire gas value chain.

Secondly, the newly formed Gas Task Team must be explicitly mandated, on behalf of the country, to avert the gas cliff and prevent the catastrophic impact that failure would have—not only on South Africa's economy, but across the wider SADC region. Its work should focus on developing a shared-risk fiscal framework, sequencing demand, and enabling bankable infrastructure decisions that secure Mozambique LNG in the short term while accelerating West Coast Gas and other regional solutions for the medium and long term.

1.2. The need for coordinated action

South Africa's natural gas future stands today in a position of grave uncertainty. This is not merely a policy challenge but an execution crisis — one that threatens jobs, economic growth, and investment in the short term, while eroding the long-term potential benefits of a stable and secure gas economy.

While government policy documents such as the **Integrated Resource Plan (IRP 2025)**, **Gas Master Plan**, and **Gas Cliff mitigation statements** provide a clear vision and mission for South Africa's energy transition, they remain aspirational in nature. These frameworks articulate intent but lack an executable implementation pathway. In strategic terms, they serve as "vision statements" — but without a corresponding operational framework, they expose the country to significant execution risk. The absence of detailed governance, timelines, and financing mechanisms to translate these plans into action means that none of the stated policy positions can achieve their intended impact.

Without immediate, practical solutions, gas-dependent industries are already facing operational shutdowns, deferring capital investment, and losing competitiveness — developments that have a compounding and negative effect on growth, employment, and export performance.

Despite multiple engagements with government throughout this year, actionable guidance and decision-making remain absent. **IGUA-SA** has consistently voiced concern over the lack of consistent, coordinated, and empowered government engagement to resolve this impending crisis. Late-period discussions have confirmed that there is still no formulated or implementable plan to avert the gas cliff within the next 12 months. This gap between policy aspiration and practical execution places the South African economy at significant risk.

A recurring weakness in government's response is the absence of a defined financial and transactional framework capable of attracting private investment into gas infrastructure. The **Department of Electricity and Energy (DEE)** has acknowledged the challenge of limited sovereign guarantees and has referenced ongoing engagements with the **World Bank** and **National Treasury** to develop credit-enhancement tools. However, no formalised risk-sharing mefchanism or fiscal structure has been presented.

This is particularly frustrating because there are areas of clear conceptual alignment between industry and government. The DEE's strategic intent correctly identifies gas not merely as a "transition fuel" but as a **destination energy source** central to South Africa's industrialisation and energy sovereignty — a welcome and pragmatic shift. Yet, without an execution framework that links the **IRP**, **IEP**, and **Gas Master Plan** to defined institutional responsibilities and time-bound implementation, these ambitions will remain unrealised.

For industrial users, this uncertainty is deeply destabilising. Investment decisions depend on clarity of supply, pricing, and government commitment to infrastructure delivery. In the absence of executable policy, major industrial developments are being deferred or halted, compounding economic stagnation and undermining South Africa's competitiveness and future growth trajectory.

1.3. Gas aggregation and the role of the private sector

In the face of this uncertainty, and with crucial decisions to be made, it is especially important that these decisions are informed by research and analysis, and that they are enabled by platforms and partnerships that emphasise collaboration and action. Crucially, we need communication and coordination between all major players in SA Gas: upstream, midstream, downstream, academia, finance and government.

IGUA-SA increasingly functions as a dynamic incubator for pioneering ideas, concepts, and pre-feasibility initiatives that address critical gaps in South Africa's gas-supply ecosystem. The association has demonstrated its commitment to practical problem-solving through convening collaborative platforms and developing structures that can deliver tangible energy-security benefits. The development of GasHub exemplifies IGUA-SA's role as an active force in conceptualising and implementing transformational solutions. The rapid advancement of GasHub – a pioneering gas-demand aggregator – illustrates IGUA-SA's capacity to design and implement market-changing solutions.

Gashub - an industry-led approach

GasHub

Driven by necessity, industry is actively pursuing its own solutions to address the gas supply crisis. South Africa's industrial users of natural gas have rapidly and resolutely moved ahead with the development of GasHub, an open-access, cost pass-through gas-demand aggregator.

The gas cliff presents a formidable challenge, but it also offers an opportunity to transform and strengthen South Africa's gas market. By aggregating demand across multiple industrial users, GasHub creates the market scale necessary to attract international LNG suppliers and secure favourable long-term supply agreements. This collective approach enables South African industry to negotiate from a position of strength, ensuring both competitive pricing and supply reliability that individual companies could not achieve independently.

The aggregator model also provides critical risk diversification, spreading supply chain vulnerabilities across multiple sources and supply routes while maintaining the operational flexibility each member requires for their specific industrial processes. GasHub has been specifically designed to allow the country's industrial gas users to secure a supply chain that is reliable, resilient and transparent.

In short, the establishment of GasHub enables South African manufacturing to transition from a fragmented market to a consolidated and structured market and underpins productive capacity.

Energy security through collective action

Participation in GasHub offers shareholders a combination of operational advantages and strategic positioning. Through GasHub, South African industry transforms from vulnerable price-takers in a constrained market to empowered stakeholders in a resilient, transparent, and growth-oriented energy future.

A proportionate risk model ensures that each shareholder's exposure is balanced against their participation level, creating an equitable framework where benefits and responsibilities align with commitment. Rather than bearing the full burden of supply chain risk individually, shareholders become part of a collective that distributes and manages these risks.

Most importantly, GasHub shareholders gain control of their own destiny for growth. South African energy stands at a critical juncture, presenting gas users with a unique opportunity to become architects of their own energy security. By participating in the design and governance of South Africa's future gas supply infrastructure, industrial users ensure that their long-term energy requirements drive the nation's socioeconomic development.

The urgency of a collaborative response

GasHub is an essential component of the environment needed to secure long-term supplies of energy. But it is not, in itself, sufficient. The private sector cannot bear the full burden of risk required to secure new gas infrastructure and supply without government support. Collaborative intergovernmental solutions are essential for safeguarding industry and the economy.

The urgency of this matter demands a structured, collaborative response to ensure industrial continuity and economic stability. We urge the government to adopt and implement actionable measures to address the gas cliff and South Africa's long-term supply of gas. A proactive, transparent, and collaborative approach involving both the public and private sectors is essential to ensure continuity in energy supply; protect economic stability; foster long-term growth in the gas sector; and retain critical jobs.

The gas cliff is a solvable challenge, but only if government and industry move now, together, in a tightly coordinated effort. All stakeholders now need to focus squarely on the transactional, project-specific actions now required to deliver a coordinated solution.

02 THE GAS ROADMAP – BALANCING SUPPLY AND DEMAND

2.1. Purpose, structure and key timelines of the gas roadmap

This Gas Roadmap is intended to be reviewed by both public and private stakeholders. Industry seeks collaboration and welcomes constructive input that will help to refine and strengthen this initial view.

The intention is not to prescribe, but rather to offer a practical guide to move policy into practice, offering a starting point for coordinated implementation across government, regulators, and industry.

The document serves as a first step towards a unified, actionable framework for securing South Africa's gas future. It translates policy intent into tangible actions and timelines, enabling stakeholders to coalesce around a coherent national gas strategy.

It is structured to:

- Quantify national and regional **gas demand trajectories to 2042**;
- Outline the **supply pathways**—Mozambique LNG, Richards Bay LNG, West Coast Gas, Luiperd–Brulpadda, and Coega LNG;
- Define **institutional mechanisms and risk-sharing frameworks** required for execution; and
- Identify the **critical actions and timelines** needed to avert the gas cliff and ensure South Africa's industrial and economic survival.

In essence, this Roadmap places policy into the "how-to-execute" space—bridging the divide between strategy and implementation—so that gas energy can once again become the catalyst for South Africa's next phase of industrial growth.

The Gas Roadmap presents a 2 phased approach to developing gas supply in South Africa and makes a distinction between immediate short term actions and gas master planning.

Short term action planning

This urgent action planning phase runs from today until the end of 2026. A first action is the establishment of the appropriate political sponsorship of the gas cliff problem. This urgent and critical phase has a singular purpose and this is to avert the Gas Cliff and avoid the associated GDP stall. It is underpinned by the creation of a National Gas Cliff Task Team, potentially run from the office of the Presidency and made up of all key stakeholders from the relevant energy departments, Treasury, DTIC, NERSA, Eskom and the private sector.

The key deliverable of this phase are the development of a co-ordinated sequenced demand stack for gas on the Rompco corridor first and Richards Bay second, coupled with a bankable financial wrap or fiscal framework that enables the South Africa to enter into LNG infrastructure contracts, as well as the start of a long term integrated gas policy framework that will guide all future phases.

Long term strategic planning process

As part of the gas master planning process, a medium to long term planning phase follows the short term transaction. This phase will see further development and evolution of the long term integrated gas policy framework, focus on ensuring alignment to and delivery of the integrated gas policy framework, the oversight and development of critical gas demand nodes, as well as the integration of west coast gas into the supply model.

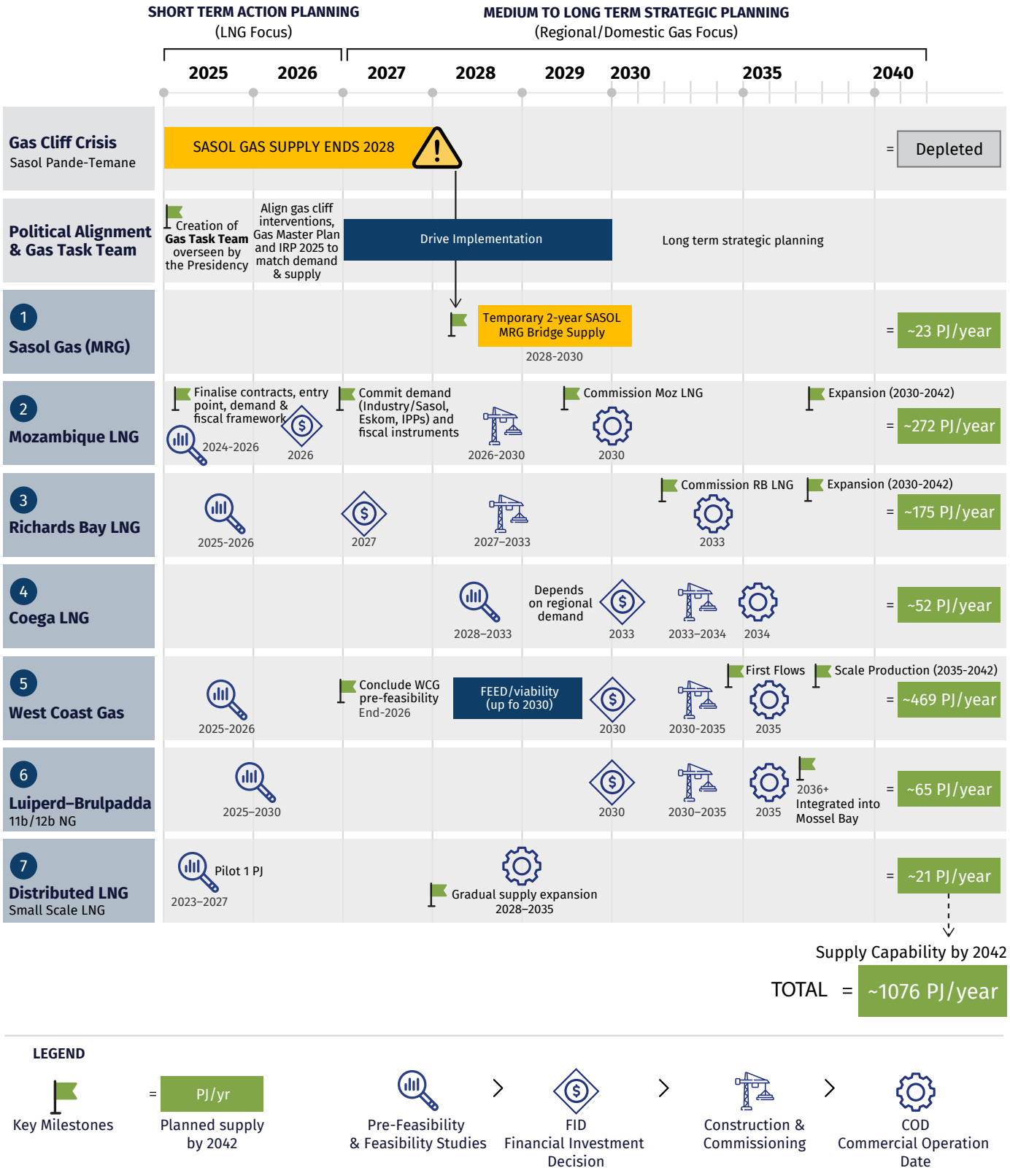


Figure 1 - The gas roadmap

Time is of the essence and the underlying assumption for the timelines listed below to be met, is their alignment with the **gas cliff horizon and the Integrated Resource Plan (IRP 2025)**. The milestones below are sequenced to ensure that immediate actions to secure LNG supply and medium-term regional gas development coincide with the country's broader energy-planning and investment-decision cycles.

EVENT	TIMEFRAME	ROADMAP EVENTS
Political Alignment & Gas Task Team	2025	Creation of the dedicated Gas Task Team overseen by the Presidency.
Develop and commit SA demand profile	2025–2026	Create and commit to a 'South Africa Incorporated' demand profile for LNG that includes combined commitments through government and private sector initiatives, develop fiscal support framework for infrastructure and LNG contracting, select a Mozambique LNG entry point, finalise infrastructure contracts and respective LNG supply and gas pipeline transport contracts for LNG through Mozambique and Richards Bay.
Gass cliff	Mid 2028	Existing supply from Mozambique's Pande-Temane fields will cease by mid-2028.
Sasol MRG bridge	2028–2030	Sasol bridges the gas cliff for a two year period with the supply of MRG.
Mozambique LNG	2025–2030	Build and commission Mozambique LNG infrastructure project in parallel with gas to power projects to enable and fast rack initial infrastructure developments.
Richard Bay LNG	2029– 2032	Build and commission Richards Bay LNG infrastructure project in parallel with gas to power projects to enable and fast rack initial infrastructure developments.
Luiperd–Brulpadda	2030–2036+	Luiperd–Brulpadda integrated into Mossel Bay.
West Coast Gas	2025–2026	By the end of 2026 conclude West Coast Gas FEL 1 – Strategic Planning Study (SPS) / Pre-feasibility.
	2027– 2028	By mid 2028 compete FID for West Coast Gas integrated FEL 2 – accelerated feasibility.
	2028–2030	By the end of 2030 conclude West Coast Gas lean FEL 3 – Modular FEED (Front-End Engineering & Design).
	2035+	COD for West Coast Gas; Eskom repowering and regional industrial supply commence.
	2035–2042	West Coast Gas scales to ~450 PJ/year; Richards Bay and Mozambique LNG expand to balance long-term demand.

Table 1 - Key sequenced gas roadmap events

In summary, the gas roadmap needs to ensure the following key dates are met:

PROJECT	FID	Date/COD	PJ / Year
Commit to SA gas demand profile (gas cliff profile)		2026	75-80PJ/a (min)
Mozambique LNG	2026	2030	140 – 270
West Coast Gas NG	2028	2035	285 – 470
Richards Bay LNG	2028	2030	130 – 175
Luiperd–Brulpadda	2030	2035	65
Distributed LNG & Smaller Projects	Various	2025 – 2042	1 – 20

Table 2 - Key priority project dates and volumes

2.2. Urgent short-term action plans – November 2025 to February 2026

South Africa possesses the fundamental building blocks necessary for establishing a secure and viable gas future: substantial domestic reserves, strategic regional partnerships, robust industrial demand, and significant potential to attract international investment. The convergence of these factors creates an environment conducive to developing a thriving gas economy that can support the country's broader economic transformation objectives.

South Africa is strategically located, relatively stable and endowed with under-explored petroleum potential, with about 60 trillion cubic feet of potential gas resources. We are moving towards more gas in the country's energy mix and, year-on-year, the demand for gas is growing in South Africa's industrial and power sectors. We need both LNG imports and domestic resources to feed into this growing demand and to ignite our economy.

2.3. The facts of the rapidly approaching gas cliff

Before we unlock these opportunities for economic growth, we need to navigate the short-term gas-supply crunch. The reality facing us today is clear:

- **There is a gas cliff.**
  Existing supply from Mozambique's Pande-Temane fields will cease by mid-2028. Sasol's synthetic gas may offer only a limited 24-month extension thereafter. There is no other domestic gas source of scale available in this timeframe.
- **Imported LNG is the only bridging solution.**
  LNG is the only viable short-term option for South Africa. We have no alternative domestic gas supply capable of meeting national demand in the short to medium term.
- **Mozambique is the only viable short-term LNG route.**
  The Matola and Inhassoro options, when connected through the existing state-owned ROMPCO pipeline, are technically and commercially implementable within the required timeframes.
- **Richards Bay is a regional solution for KwaZulu-Natal, and not a national solution to South Africa's gas cliff.**
  That said, there is a long-term commercial case for both Mozambique and Richards Bay LNG terminals – but these must be phased and sequenced appropriately to address immediate supply risks and evolving regional needs.
- **Industrial demand alone cannot support LNG terminal development.**
  Without coordinated, bankable gas-to-power demand, no LNG terminal – whether in Matola or elsewhere – can proceed to final investment decision. Terminal developers require long-term offtake from power generation as a base anchor to secure financing. Industrial demand, while significant, is too fragmented and price-sensitive to de-risk these projects alone.
- **A fiscal framework is urgently required.**
  Beyond demand aggregation, what is now critically needed is a jointly adopted fiscal and financial support framework between government and the private sector to enable LNG contracting and infrastructure investment. Such a framework must define the appropriate balance of public and private risk, including guarantees, viability gap funding, and long-term offtake commitments. Without it, neither LNG import infrastructure nor gas transportation and storage investments will reach bankability. Establishing this fiscal architecture is therefore central to any executable solution that bridges the gas cliff and secures industrial and power supply continuity.
- **Active political sponsorship is required.** Government alignment is now critical. Industry has already advanced demand aggregation and commercial transactions to address the gas cliff. Industry demand, however, is not sufficient on its own, in the context of national-scale infrastructure investment, to secure a lasting solution. What is now urgently needed is Government alignment on aggregated and timely gas-to-power demand procurement, certainty on gas infrastructure timelines, and a public-private partnership model to underwrite infrastructure risk and enable the Mozambique LNG solution.

2.4. Initial step - establish a mandated National Gas Task team

South Africa faces an urgent dual challenge: firstly in the immediate short term we have to bridge the looming gas cliff whilst at the same time securing long-term, competitive gas supply.

The first and most critical step to achieve this is the creation a dedicated Gas Task team, sponsored and run from the Office of the Presidency, led at Ministerial level, and made up of all of the key role players and stakeholders.

In terms of averting the gas cliff, the immediate focus of National Gas Task team must, as equal national priorities, be on Mozambique LNG and West Coast Gas; Richards Bay LNG and Luiperd–Brulpadda provide important diversification opportunities but remain secondary to these two national imperatives.

Further, the National Gas Task team must develop a governmental governance framework in order to deliver these outcomes on time and at scale.

Before the end of November 2025, the Office of the Presidency must establish the dedicated National Gas Task Team, bringing together key ministries and industry stakeholders — including IGUA-SA, Eskom, Sasol, DTIC, DMRE, National Treasury, and NERSA.

The Gas Task team will provide:

- **Subject matter expertise**
- **Urgent oversight**
- **Aligned actions**
- **A coordinated gas policy that can be implemented across the economy**

The creation of the National Gas Task team by the Office of the Presidency is seen as the single most important success factor in the creation of this team as it elevates the looming problem to being of strategic importance, whilst it also brings together a currently fragmented ownership of a national gas solution.

The National Gas Task team must be mandated, by the Office of the Presidency to produce an integrated, time-bound plan, with clearly defined milestones, to resolve the gas cliff. The Gas Task team will act as the focal point for decision-making and will ensure that immediate interventions are integrated with broader energy planning. As a further critical success factor, it is proposed that the National Gas Task team be supported by a dedicated Programme Management Office, (PMO), that will co-ordinate all efforts as well as drive all required outcomes.

Immediate deliverables of the National Gas Task team

Before the **end of the 1st quarter of 2026** the National Gas Task team will have to deliver the following critical first steps:

- Conceptualize and determine the most appropriate commercial vehicle and fiscal framework for South Africa to aggregate national gas demand to enter into LNG infrastructure contracting
- Determine and agree, across all sectors of the country, a gas demand stack that consolidates demand from petrochemicals, industry, and power into an anchor load to ensure bankability Critically, the gas demand stack must represent committed and guaranteed demand and must further be sequenced from a timing perspective. The committed gas demand stack underpin the LNG contracting process.
- Align the agreed demand sequence with infrastructure availability and timing for:
  - Matola
  - Inhassoro
  - Richards Bay
  - Rompco Lily pipeline
- The Gas Task team need to then package demand sequence and demand commitment and present this to the infrastructure developers, enabling the infrastructure developers respond with infrastructure timing, costs as well as fiscal requirements.

Conclude executable LNG supply arrangements with Mozambique



South Africa must conclude executable LNG supply arrangements with Mozambique by no later than the last quarter of 2026. An executable option is fully developed, guaranteed, and ready for immediate implementation.

Between **April and November 2026** the National Gas Task team will have to deliver the following:

- Armed with the infrastructure costs and fiscal requirements, the Gas Task team will, with National Treasury, must develop a fiscal support framework, to enable risk-adjusted bankability and support early-stage project de-risking.
- Provide guarantees, viability gap funding, and long-term offtake agreements to de-risk investment
- Align on a single LNG entry point and commit collectively to Matola or Inhassoro to avoid duplication and maximise scale.
- Based on a set of pre-agreed metrics, the Gas Task team will select an LNG infrastructure partner.
- The Gas Task team, via the already selected commercial vehicle will start to negotiate and enter in LNG supply and transport contracts.
- Further the team will
  - Determine MRG supply timelines, (start and end dates) and costs; as well as
  - Start to develop plans to fill all demand gaps

Support the development of GasHub and other aggregators

GasHub is the a feasible path for industry to secure gas by July 2028/30, mitigating Sasol's reduced role and securing stability. It also provides the basis for large-scale gas-infrastructure investments and transactions to ensure reliable international and domestic supplies of gas. The swift advancement of GasHub will both secure options for alternative gas supply beyond 2027, and ensure South Africa's gas supply chain is capable of supporting South Africa's industrial needs well into the future.

2.5. Long term strategic planning focussed on gas energy security and transition - January 2026 onwards

Conceptually this long term phase will see further development and evolution of the long term integrated gas policy framework, the oversight and development of critical gas demand nodes, oversight of key LNG infrastructure projects, as well as the integration of west coast gas into the supply model.

Transition to coordinated national oversight

Over time, the Gas Task team's work should be aligned with broader national energy governance structures, ensuring gas is integrated into electricity and industrial planning at the highest level.

Demand: Develop, coordinate and sequence demand nodes

The Gas Task team's will have oversight to drive demand projects, (PWR IRP and PWR CONV), that were committed to as part of the sequenced demand stack across key corridors i.e. Rompco, Richards Bay, Western Cape and Northern Cape.

Fast-track West Coast Gas (WCG) development

Aim: Lend support to fast tracking the WCG programme and, assist to drive where possible, with the pre-feasibility study that kicks off in November 2025 and is planned to be delivered before the end of 2026.

WCG is a multi-national initiative between South Africa and Namibia, structured as a public–private–institutional collaboration. Its objective is to unlock cost-competitive natural gas supply at $6–8/GJ, delivered to industrial, mining, and power hubs in Sasolburg, Saldanha/Atlantis, Windhoek, and key demand nodes along the pipeline and will, within a decade, provide the backbone of South Africa's gas economy. With potential to supply 185–470 PJ/year post-2035, this project not only underpins industrial survival but it secures and unlocks lower-cost power which has the potential to re-industrialise the South African economy on the scale that coal energy did from the 1950's.

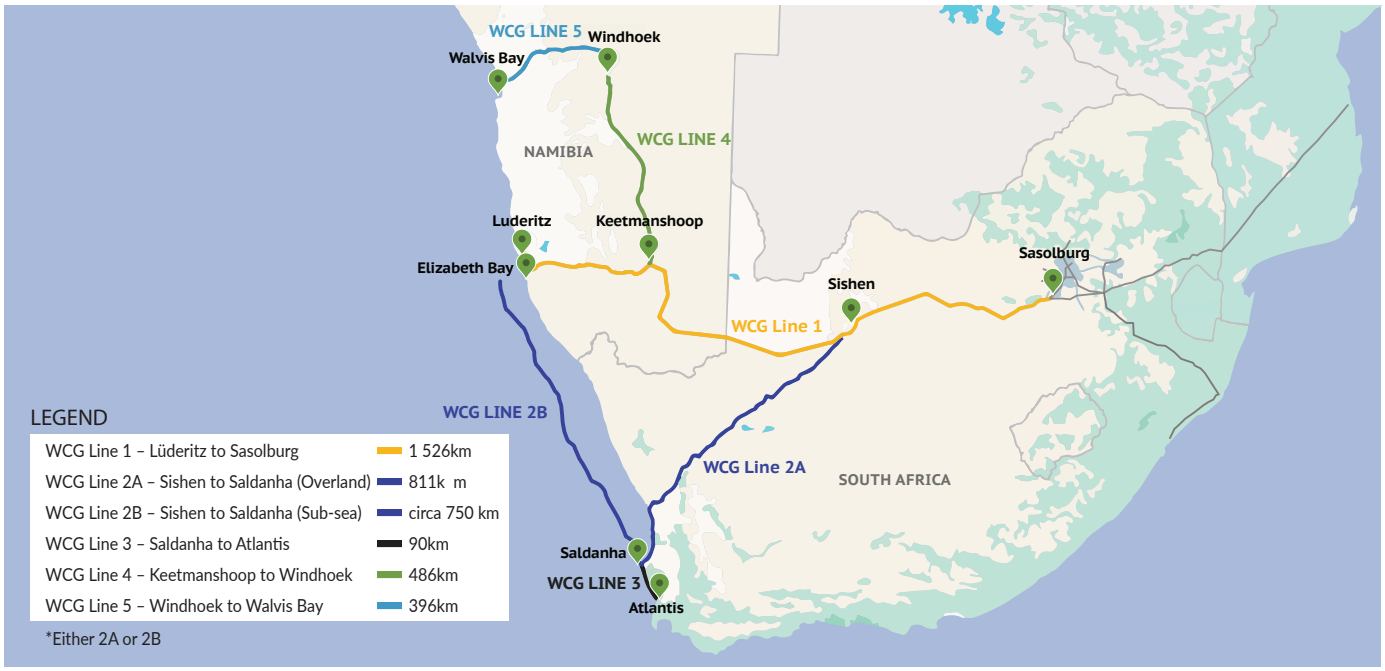


Figure 2 - Potential West Coast Gas pipelines

The project, initiated by IGUA-SA, (as industry view WCG as a potential catalyst for growth through mitigation of increasing energy cost and energy security risks), and the Industrial development Corporation (IDC), will assess the feasibility of developing midstream pipeline infrastructure to regional gas demand centres, supported by multidisciplinary assessments of the full value chain:

- Developing bi-lateral relationships between South Africa and Namibia, as this study is a multi-national Public, Private and Institutional collaboration
- Upstream supply capabilities
- Midstream infrastructure requirements
- Developing sequenced downstream demand requirements
- Exploring and better understand regulatory and legal constructs
- Finance and regulatory considerations
- Price modelling
- Alignment with Just Energy Transition (JET)
- Socio economic modelling
- Identifying skills development opportunities

ACTIVITY	KEY TARGET DATES
WCG pre-feasibility study workstreams kick-Off	November - January 2026
Pre-feasibility report submission	December 2026
Accelerated feasibility phase	June – August 2028
Modular Front-End Engineering & Design (FEED)	February – April 2030
FID	April 2030
COD - First gas supply, aligned with demand aggregation	January 2035 onwards

Table 3 - WCG key project dates

Critical Success Factors

- Cost viability
- Bi-lateral partnership
- Sequenced committed demand
- Alignment with JET
- Socio economic impact

Advance Richards Bay LNG as a regional solution

Aim: Develop Richards Bay LNG as a complementary entry point supplying KZN, diversifying the system and easing pressure inland. From a gas road map priority perspective, Richards Bay is ranked behind Mozambique LNG and West Coast Gas.

ACTIVITY	KEY TARGET DATES*
I4P /Eskom GTP award	October 2026
I4P/Eskom GTP Financial Close	December 2027
COD – Initial supply ~130 PJ/a	January 2030 onwards

Table 4 - Richards Bay LNG key project dates

Critical Success Factors

- Political alignment and sponsorship
- I4P /Eskom GTP award and FID
- Local sequenced and committed demand
  - Industrial users
  - Private power
  - IPP allocations

* The target dates above are currently at risk due to the recent decision of the Supreme Court of Appeal that annulled a government permit allowing Eskom to build a 3,000 megawatt gas power plant in Richards Bay. Eskom is the demand anchor for LNG developments in KwaZulu-Natal. Without the Eskom guarantee, timelines, which are already urgent, have become almost un-bankable.

Integrate Luiperd–Brulpadda potential

Aim: Monetise Luiperd–Brulpadda (~65 PJ/year from 2036) by leveraging Mossel Bay infrastructure. This enhances Southern Cape demand security and national diversification.

ACTIVITY	KEY TARGET DATES
FID – Gas to Power 2GW	December 2030
COD - Initial supply ~65 Pj's	January 2035 onwards

Table 5 - Luiperd-Brulpadda key project dates

Critical Success Factors

- Political alignment and sponsorship
- Monetising Luiperd–Brulpadda
- Leveraging Mossel Bay infrastructure
- Transmission line upgrades
- Local sequenced and committed demand - Gas to Power 2GW



03 GAS DEMAND

3.1. South African overview

South Africa is clearly pivoting towards a gas-reliant economy to stimulate power generation, mining growth, and reindustrialisation. National gas demand is projected to rise sharply from approximately 190 PJ in 2025 to around 1 056 PJ by 2042, driven by new gas-to-power capacity, industrial expansion, and the transition away from coal. However, the current supply outlook, illustrated by the red line, is cause for serious concern. Existing gas sources from Mozambique's Pande-Temane fields and Sasol's synthetic production will decline steeply by 2028, leaving a widening supply deficit.

South Africa's gas demand is projected to grow from 188 PJ in 2025 to approximately 1,055 PJ by 2042, representing a more than five-fold increase over less than two decades. In the period to 2029, demand remains dominated by the industrial sector, including petrochemicals, glass, food, and steel, which continue to anchor national consumption.

From 2030 onward, the demand profile shifts markedly as new pillars of gas use emerge. Private embedded gas-to-power generation (PWR PVT) begins to play a growing role, increasing from just 10 PJ in 2031 to nearly 80 PJ by 2042, primarily concentrated in Gauteng, KwaZulu-Natal, and the Western Cape. In parallel, gas-to-power projects under the Integrated Resource Plan (PWR IRP) become the single largest growth driver, rising from 192 PJ in 2030 to around 430 PJ annually from 2039 onward, as large-scale generation capacity is commissioned.

At the same time, power conversions (PWR CONV) — including Eskom's repowering of coal plants and conversions at industrial and private facilities such as Kelvin, Gourikwa, and Ankerlig — begin contributing from 2032 and expand significantly to about 196 PJ per year by 2035. Logistics and mining applications (LOG), driven by diesel substitution and hybrid energy systems, provide a smaller but steadily growing component, from 2 PJ in 2030 to 10 PJ by 2042.

This outlook reflects a decisive transition from Sasol's historical industrial gas dominance toward a diversified and integrated national gas market. By the mid-2030s, power generation overtakes industry as the primary source of gas demand, positioning gas as the central enabler of South Africa's reindustrialisation, mining expansion, and cleaner power generation strategy — driving total national consumption to over 1,000 PJ per year by the early 2040s.

However, this demand trajectory also underscores the urgent need for serious, coordinated planning and execution. Without alignment between government, regulators, and industry to deliver infrastructure, fiscal frameworks, and supply diversification, South Africa risks converting this growth potential into a **GDP cliff** rather than an industrial revival. The next five years will be decisive in determining whether this demand growth becomes a catalyst for national prosperity or a driver of economic instability.



Gas demand results, expressed in PJ/a, are underpinned by realistic assumptions with the following sectoral drivers for demand and underlying dynamics within each sector.

LEGEND

- IND (Industrial sector including petrochemicals)
- PWR PVT (Private embedded gas-to-power generation)
- PWR IRP (Gas-to-Power as per IRP 2025)
- PWR CONV (Coal to gas conversions)
- LOG (Logistics and mining)

South Africa Total Gas Demand

SOUTH AFRICA	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042
IND	188	188	188	188	188	218	234	210	194	184	282	313	315	318	322	326	333	341
PWR PVT							10	15	20	25	33	39	46	52	58	65	71	77
PWR IRP						192	192	192	192	192	288	376	376	408	408	440	440	440
PWR CONV							20	45	45	45	187	187	187	187	187	187	187	187
LOG						2	3	3	3	4	5	5	6	7	7	8	9	10
Demand Total	**188**	**188**	**188**	**188**	**188**	**412**	**458**	**465**	**455**	**450**	**795**	**921**	**930**	**972**	**982**	**1026**	**1039**	**1055**

Table 6 - South Africa demand

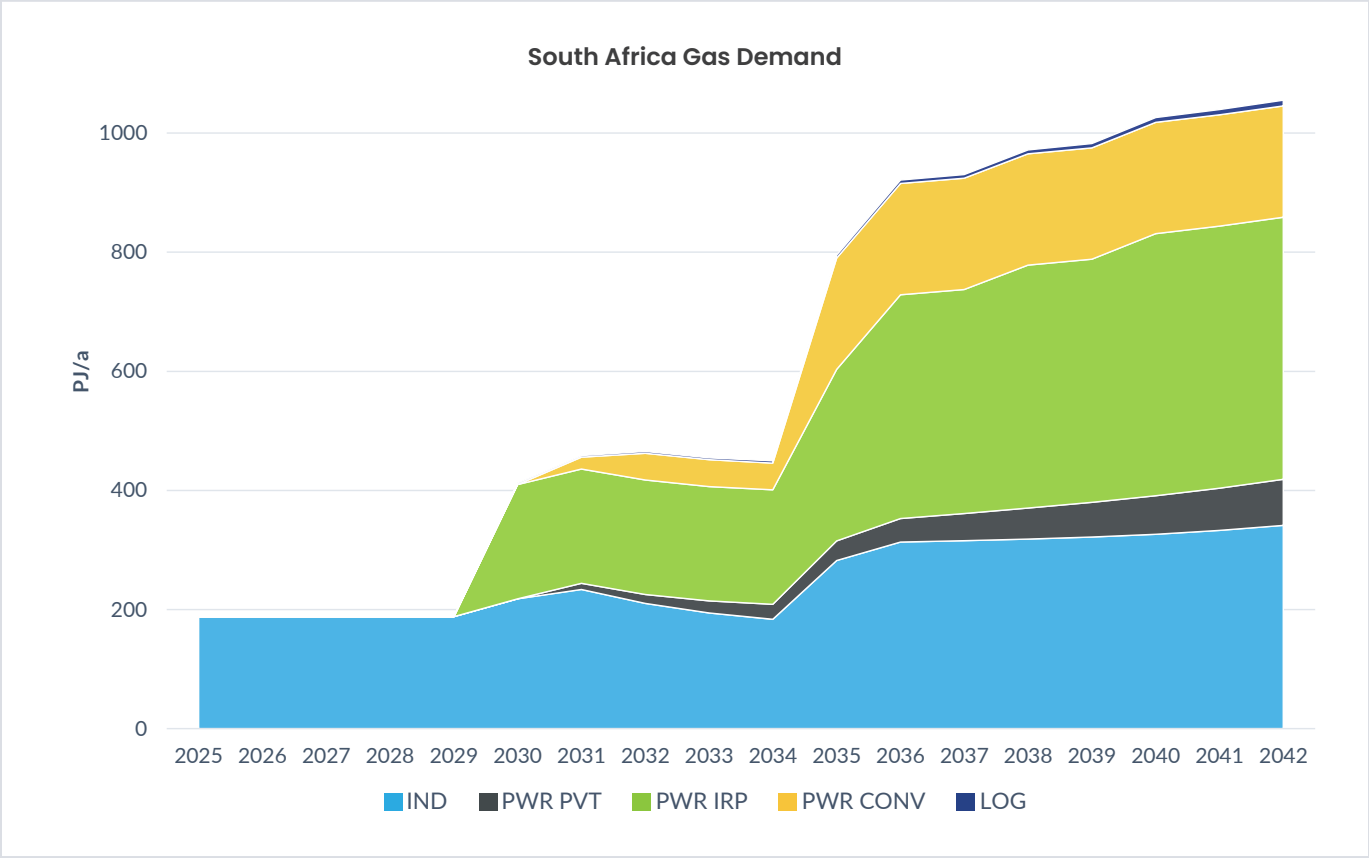


Figure 3 - South Africa gas demand profile 2025-2042

The assumptions underpin the regional demand outlooks across 5 demand nodes i.e. Gauteng/Mpumalanga, KwaZulu Natal, Eastern Cape, Western Cape and Northern Cape. Together with the national supply plan presented, this report provides the quantitative framework against which demand trajectories, supply projects, and balancing strategies are aligned.

The demand and supply outcomes in this Gas Roadmap are built on a core set of conservative assumptions that define the scale, timing, and composition of South Africa's future gas economy, aligned with the IRP 2025.

3.2. Gas demand assumptions

Gas demand assumptions are classified as follows for the different sectors:

IND: Industrial sector including petrochemicals Industrial demand growth in general is linked to long term GDP growth at 2% per annum through to 2042. Broader industrial incremental demand post 2035 is assumed to uptake WCG in steps of ~50% annual growth until stabilisation of ~20 PJ/a from 2042 for Gauteng and Mpumalanga. Sasol demand at Secunda and Sasolburg is assumed to continue Pande/Temane volumes to approximately 2034. Thereafter ~50 PJ/year of LNG is allocated to support a 1 GW gas to power plant (Eskom Kriel/Sasol). From 2035, Sasol is assumed to switch to 120 PJ/year on the availability of West Coast Gas (WCG). PetroSA demand for gas at Mossgas is excluded from the analyses. Access to WCG elicits significant demand growth in gas uptake in the Western Cape. Overall industrial demand (conservatively excluding potential uptake in the smelting and mining sectors), is set to grow overall from 2025 to 2042 from 188 PJ/year to 341PJ/year by 2042.
PWR PVT: Private embedded gas-to-power generation Demand in 2030 is assumed at 150 MW, growing incrementally by 150 MW per year. Of this, provincial allocations are set as Gauteng/Mpumalanga 50%, Western Cape 33% and KwaZulu Natal 17%, calculated at 50% efficiency and 80% utilisation.
PWR IRP: Gas-to-Power as per IRP 2025 (PWR IRP/IPPPP/CONV IRP DIESEL, COAL) Aligned with the IRP 2025, the plan assumes 18.25 GW of capacity under a 50% load factor, committing 6 GW by 2030, additionally 3,7 GW to 2035 and 8,5 GW to 2040 for new build gas to power stations, diesel peaker power station conversions for Avon, Dedisa, Gourikwa and Ankerlig, and coal power station conversions in Mpumalanga (2 GW). Regional allocations under the IRP 2025 assumes ~4 GW in KwaZulu Natal, ~4 GW in Mpumalanga, ~1,3 GW in Eastern Cape, ~4,4 GW in Western Cape, and ~4,5 GW in Northern Cape
PWR CONV: Coal to gas conversions Assumes Kelvin power station (400 MW at 25 PJ/year from 2030)
LOG (LOG, MIN & SSLNG): Logistics, mining, small scale LNG Refers to diesel substitution in transport and mining sectors, distribution of small scale LNG. Demand begins with small scale uptake of LNG and gas fuels, growing steadily as logistics corridors and mining operations convert fleets from diesel to cheaper, cleaner gas alternatives.

Table 7 - Gas demand assumptions

Price basis for natural gas:

- **LNG:** long term price trajectory at an average of USD11/GJ delivered inland and USD10/GJ delivered in coastal areas
- **WCG:** long term price average of USD6-8/GJ delivered at Sasolburg and Cape Town/Saldanha

3.3. Regional gas demand outlook – Gauteng and Mpumalanga

Introduction and regional outlook

Gauteng and Mpumalanga represent the historical and future core of South Africa's natural gas demand. Anchored by Sasol's petrochemical operations in Secunda and Sasolburg, the region also supports a diverse industrial base and hosts the largest concentration of power generation assets in the country. The demand profile is undergoing structural change: declining indigenous reserves, transitional LNG allocations, and the eventual arrival of West Coast Gas will define the trajectory of gas use across all sectors.

This chapter sets out the regional demand dynamics in a structured manner, covering the petrochemical, industrial, power, and distributed LNG logistics sectors. Each is considered individually, followed by a consolidated outlook that highlights the scale and timing of the transition, with explicit reference to the projected demand trajectory table.

MPUMALANGA/GAUTENG	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042
IND	167	167	167	167	167	195	210	186	170	159	251	252	253	254	256	259	264	271
Petrochem (NG)	120	120	120	120	120	120	84	59	41	29								
Petrochem (LNG)							50	50	50	50	50	50	50	50	50	50	50	50
Petrochem (MRG)						23	23	23	23	23	23	23	23	23	23	23	23	23
Petrochem (WCG)											120	120	120	120	120	120	120	120
Industry (WCG)											1	2	3	4	6	10	14	21
Industry (NG/MRG & LNG)	47	47	47	47	47	52	53	54	56	57	57	57	57	57	57	57	57	57
PWR PVT (LNG)						4	7	10	13	16	20	23	26	29	32	35	38	42
PWR IRP/IPPPP(LNG)						64	64	64	64	64	64	64	64	64	64	64	64	64
PWR IRP CONV COAL (WCG)											64	64	64	64	64	64	64	64
PWR CONV PVT (LNG)								25	25	25	25	25	25	25	25	25	25	25
LOG, MIN & SSLNG (LNG)						1,46	1,61	1,77	1,94	2,14	2,35	2,59	2,85	3,13	3,44	3,79	4,17	4,58
Demand Total	**167**	**167**	**167**	**167**	**167**	**264**	**283**	**287**	**274**	**266**	**426**	**430**	**434**	**439**	**445**	**451**	**460**	**470**

Table 8 - Gauteng and Mpumalanga demand

The demand trajectory table (Petrochemical, Industry, Power, Logistics) illustrates how the Gauteng and Mpumalanga region will continue to anchor South Africa's gas economy, with a demand base exceeding 400 PJ/year by 2035. The transition is marked by:

- Contraction (2025–2035): Declining reserves and reallocations tighten supply, partially offset by LNG
- Bridging (2030–2035): LNG contracts sustain industry and embedded power, peaking in 2034
- Stabilisation and growth (post-2035): West Coast Gas transforms the demand profile, enabling structural growth across all sectors

Gauteng and Mpumalanga remain the cornerstone of national gas demand. The demand trajectory table underscores the urgency of timely LNG contracting and the commissioning of West Coast Gas to safeguard the petrochemical base, unlock industrial growth, enable cleaner power generation, and support new markets such as logistics.

Petrochemical sector

The petrochemical sector, dominated by Sasol, is the single largest consumer of natural gas in South Africa. Current supply of approximately 120 PJ/year from Mozambique is in terminal decline and will be depleted by 2035, creating a structural gap in the feedstock base.

Key assumptions include:

- Reserve depletion: Supply of ~120 PJ/year reduces steadily to zero by 2035.
- MRG reallocation: From 2030, Sasol secures 23 PJ/year of MRG, switching this away from external markets to internal processes.
- LNG for internal power: From 2031, Sasol accesses 50 PJ/year of LNG to support a 1 GW power plant at Kriel, confined to internal power needs.
- West Coast Gas integration: By 2035, Sasol is assumed to receive 120 PJ/year from West Coast Gas, stabilising petrochemical demand at 193 PJ/year going forward.

> **Outlook**
> As shown in the demand trajectory table, the petrochemical sector follows a two-stage trajectory: contraction to 2035 as reserves deplete from 120PJ/a to 102PJ/a, followed by stabilisation at 193PJ/a once West Coast Gas becomes available.

Industrial sector

Industrial users across Gauteng and Mpumalanga consume approximately 47 PJ/year of gas, mainly in manufacturing, chemicals, and metals. Their trajectory is constrained by supply limits and then modestly expanded by LNG access.

Key assumptions include:

- Static baseline: Demand holds at ~47 PJ/year until LNG becomes available.
- Pent-up demand: Access to LNG in 2030 raises demand to 52 PJ/year, reflecting historically suppressed demand.
- Peak LNG utilisation: Demand peaks at 57 PJ/year in 2034, the high-water mark before West Coast Gas.
- WCG-enabled growth: From 2035 onwards, industrial demand grows incrementally with GDP from 1PJ/a to 21PJ/a in 2042, enabled by WCG.
- Contractual exposure: Industry must contract LNG from Mozambique to bridge the gas cliff, but reliance remains temporary and capped by contract terms and WCG availability.

> **Outlook**
> In line with the table, the industrial sector demonstrates constrained stability up to 2030, modest LNG-enabled growth to 2034, and structural expansion thereafter with the onset of WCG to 78PJ/a in 2042.

Power sector

The regional power sector will increasingly incorporate natural gas, both through embedded private generation and large-scale public procurement. Demand growth is stepwise, reflecting private uptake, IPPPP awards, and Eskom repowering.

Key assumptions include:

- Pent-up embedded demand: From 2030, LNG enables 4 PJ/year of immediate embedded demand from industry and mining, growing steadily to 42 PJ/year by the end of the period.
- IPP/IPPPP allocations: From 2030, the Gas-to-Power programme awards 2 GW (~64 PJ/year) anchored on LNG, critical for early infrastructure bankability.
- Eskom repowering: From 2035, Hendrina and Grootvlei are assumed to be converted to gas, adding 64 PJ/year of demand, contingent on WCG.
- Private station conversions: From 2030, Kelvin power station is assumed to convert to LNG, adding 400 MW (~25 PJ/year).

> **Outlook**
> The power sector trajectory shows four phases:
>
> 1. 2030: embedded power generation demand unlocked (4 PJ/year).
> 2. 2030: Structural LNG anchor added via IPPPP (64 PJ/year).
> 3. 2030–2035: Private conversion (Kelvin, 25 PJ/year) and Eskom repowering from 2035 (64 PJ/year).
> 4. Post-2035: Stable demand base exceeding 150 PJ/year, diversified between embedded, IPP, and Eskom loads.

Distributed LNG – Logistics, Mining and Small Scale LNG sector

While relatively small in scale, the logistics sector is expected to create a steady source of LNG demand as long-haul freight operators adopt gas in place of diesel. Demand growth is incremental from the early 2030s, reflecting gradual fleet turnover. As shown in the table, this demand line remains modest but adds diversity to the regional balance.

3.4. Regional gas demand outlook – KwaZulu-Natal

Introduction and regional outlook

KwaZulu-Natal (KZN) is South Africa's second major industrial gas hub after Gauteng and Mpumalanga, with demand concentrated around Richards Bay and Durban's industrial belt. Its location along the eastern seaboard positions it strategically for LNG import options, while also making it reliant on regional infrastructure integration. The region's demand outlook is shaped by the transition away from Methane Rich Gas (MRG) by June 2030, the narrow timelines for Richards Bay LNG, and the availability of alternatives via the ROMPCO system and Sasol's inland network.

This section sets out the regional demand profile with explicit reference to the demand trajectory table, focusing on the industrial, power, and logistics sectors as the dominant consumers in KZN.

KWAZULU NATAL	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042
IND (MRG)	21	21	21	21	21													
IND (LNG, Moz)						23	24	24	25	25	26	26	27	27	28	29	29	30
PWR PVT (LNG)						1	3	5	7	9	11	13	15	16	18	20	22	24
PWR IRP/IPPPP (LNG)						128	128	128	128	128	128	128	128	128	128	128	128	128
PWR CONV IRP DIESEL (LNG)							20	20	20	20	20	20	20	20	20	20	20	20
LOG, MIN & SSLNG (LNG)						1,0	1,1	1,2	1,3	1,5	1,6	1,8	1,9	2,1	2,4	2,6	2,9	3,1
Demand Total	**21**	**21**	**21**	**21**	**21**	**153**	**176**	**178**	**181**	**183**	**186**	**189**	**191**	**194**	**197**	**199**	**202**	**205**

Table 9 - KZN demand

Demand trajectory summary:

- Industrial: Stable until 2029 under MRG, transition to LNG in 2030, then GDP-linked growth increasing from 21 PJ/a currently to 30 PJ/a in 2042.
- Private Power: From 2030, starting at 1 PJ/year, growing steadily with embedded generation uptake, increasing to 24 PJ/a in 2042.
- IRP/IPPPP Power: 128 PJ/year from 2030 (4 GW).
- Power Conversions: Avon diesel peaker converted to LNG from 2030, reducing reliance on costly diesel, representing 20 PJ/a.
- Logistics: Incremental uptake from early 2030s, modest but steady growth up to 3 PJ/a in 2042.

KZN's gas economy hinges on the timely delivery of Richards Bay LNG infrastructure. The province faces a critical inflection point in 2030: failure to deliver infrastructure on schedule risks severe supply disruptions, while success would secure a diversified and growing demand base. By 2035, industrial, power, and logistics demand combined could exceed 200 PJ/year, positioning KZN as a key anchor in South Africa's broader gas transition.

Richards Bay LNG is both a regional necessity and a national priority. Without it, industrial operations, private power development, and peaker plant conversions in KZN will be exposed to significant risk. With it, the province becomes a resilient and diversified gas hub, complementing inland demand centres and strengthening national energy security. Importantly, Richards Bay LNG is critical for South Africa's energy diversification into LNG, providing security and long-term optionality. Economically, LNG from the east coast will not compete with the imperative of West Coast Gas on price, but rather exist in parallel, adding resilience and diversification to South Africa's energy mix. Richards Bay has to coexist alongside Mozambique LNG as part of a balanced national energy strategy.

Industrial sector

Industrial gas demand in KZN is currently underpinned by MRG allocations delivered into the region. However, this supply is not sustainable beyond June 2030, and the region must prepare for LNG substitution.

Key assumptions include:

- MRG supply until 2030: Industrial consumption continues at current levels of around 21 PJ/a, supplied by MRG allocations, up to June 2030.
- Sasol reallocation from 2030: From 2030, Sasol suspends supply to external customers in KZN and reallocates these volumes to its own operations in Secunda and Sasolburg.
- Switch to LNG in 2030: Industrial users in KZN switch to LNG on the assumption that associated import and distribution infrastructure at Richards Bay is fully operational by 2030.
- Risk of delay: Should Richards Bay LNG infrastructure not be ready in time, industry would need to be supplied via alternative pathways – either through LNG imports at Matola and transport via the ROMPCO pipeline, or through reallocation from Sasol's inland network at Secunda. This optionality is critical to mitigating the narrow and tight timeline assumptions for Richards Bay LNG.
- GDP-linked growth from 2030 onwards: From 2030, industrial demand is assumed to grow steadily in line with GDP, reflecting LNG as the enabling fuel for gradual long-term expansion increasing to 30 PJ/a.

> **Outlook**
> As shown in the table, KZN's industrial sector faces a hard transition point in 2030, shifting from secure MRG supply to reliance on LNG. Richards Bay LNG is the preferred solution, but risk mitigation through ROMPCO and Secunda pathways is essential to ensure supply continuity. From 2030, the region's industrial gas demand follows a trajectory of GDP-linked growth, underpinned by LNG as the primary supply source.

Private power sector

In addition to industrial demand, KZN is expected to develop a modest but important private power market, mainly through embedded generation in industry and mining. This follows the same national assumptions applied in Gauteng and Mpumalanga but adjusted for KZN's regional share.

Key assumptions include:

- Share of embedded generation: KZN accounts for approximately 17% of the national assumed 150 MW/year increase in gas-based embedded generation, reflecting its industrial base and proximity to LNG supply.
- Demand unlocked in 2030: With LNG availability from Richards Bay, KZN is assumed to start with 1 PJ/year of embedded power demand from 2030.
- Growth trajectory: Embedded power demand then grows steadily, increasing annually to 24 PJ/a as additional industrial and mining facilities adopt gas-to-power solutions.

> **Outlook**
> The private power sector provides KZN with an important diversification of demand beyond heavy industry. Starting at 1 PJ/year in 2030, the sector's growth strengthens the business case for Richards Bay LNG infrastructure and creates resilience in the provincial demand profile. Over time, embedded power demand will complement industrial growth and support the broader regional transition to gas.

IRP/IPPPP Gas-to-Power sector

KwaZulu-Natal is also expected to contribute to national gas-to-power demand through Independent Power Producers (IPPs) and the Integrated Resource Plan (IRP) procurement process. These allocations represent a significant anchor load for LNG in the province but are highly sensitive to infrastructure timelines and global supply chain constraints.

Key assumptions include:

- Initial allocations: From 2030, approximately 128 PJ/year of LNG demand is assumed for 4 GW of gas-fired generation capacity increasing (4 GW Eskom, 1 GW IPPPP)
- Load factor: Assumptions are based on a 50% load factor, consistent with typical IPP operations.
- Critical risks: The timeline for this rollout is under considerable risk due to (i) the long lead times for LNG and pipeline infrastructure development, (ii) extended power investment decision processes, and (iii) turbine availability globally, where waiting times are currently estimated at 6–8 years.

> **Outlook**
> The IPP/IPPPP programme represents a potential step-change in gas demand for KZN from 2030 onwards. However, the province's ability to secure and sustain this anchor load is critically dependent on timely infrastructure delivery, government procurement schedules, and global equipment availability. Any LNG solution in KZN is deemed to be a regional solution for the gas cliff, due to the pipeline system's inability to meet all gas demand in Mpumalanga and Gauteng, and the unlikelihood of new pipeline upgrades competing against sunk ROMPCO assets in the long run.

Power conversions (peaking plants)

In addition to new private and IRP capacity, KZN has the option to repurpose existing power infrastructure. Diesel peaking plants such as those at Avon are technically capable of converting to LNG once supply becomes available from 2030. Such conversions would significantly reduce operating costs compared to diesel and provide a rapid means to scale up gas-fired power generation without requiring entirely new builds.

Key assumptions include:

- Conversion potential: Existing Avon diesel peakers are considered suitable candidates for conversion to LNG with 20 PJ/a from 2030, offering faster implementation compared to new IPP projects.
- Cost advantage: LNG is expected to deliver lower fuel costs relative to diesel, improving competitiveness and reducing power generation costs.
- Timing: Conversions are assumed to begin once LNG supply from Richards Bay is available from 2030.

Outlook
Power conversions at Avon and similar plants provide KZN with a practical pathway to diversify and decarbonise its peaking power fleet. They also reduce the province's reliance on more costly liquid fuels and align with broader national objectives to transition to gas.

Distributed LNG – Logistics, Mining and Small Scale LNG sector

In addition to industry and power, KZN is expected to see a gradual uptake of LNG in the logistics and freight sector. Richards Bay's position as a key port and Durban's role as a freight hub make the region well suited for LNG in long-haul transport.

Key assumptions include:

- Initial uptake: Distributed LNG demand begins in the early 2030s from around 1 PJ/a to 3 PJ/a in 2042, supported by fleet operators seeking lower-carbon alternatives to diesel.
- Growth trajectory: Adoption grows steadily but remains modest relative to industry and power demand, constrained by fleet turnover rates and infrastructure availability.
- Strategic role: Logistics demand diversifies the gas market in KZN and supports the case for LNG import infrastructure, though volumes remain small in comparison to industrial and power use.

Outlook
As reflected in the table, distributed LNG demand strengthens regional diversification and underpins Richards Bay's role as a multi-sector entry point for gas. Although small in scale, logistics adoption provides resilience and incremental demand growth in the province's gas economy.

3.5. Regional gas demand outlook – Eastern Cape

Introduction and regional outlook

The Eastern Cape (EC) is distinct from Gauteng, Mpumalanga, and KwaZulu-Natal in that it is **entirely LNG dependent**. The province lacks indigenous gas supply and pipeline connectivity, making it reliant on LNG import infrastructure. While the Gas Roadmap references LNG and gas use in the region, the extent and pace of development remain uncertain and are likely to be shaped by government initiatives through the **Central Energy Fund (CEF)**, with specific objectives and timelines still to be clarified.

This chapter outlines the potential demand trajectory for the Eastern Cape, referencing the demand trajectory table and considering industrial, private power, IPP/IPPPP power, and power conversion sectors.

EASTERN CAPE	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042
IND (LNG)											6	6	6	6	6	6	6	6
PWR PVT (LNG)											0,32	0,63	0,95	1,26	1,58	1,89	2,21	2,52
PWR IRP/IPPPP (LNG)											32	32	32	32	32	32	32	32
PWR CONV IRP DIESEL (LNG)											11	11	11	11	11	11	11	11
LOG, MIN & SSLNG (LNG)																		
Demand Total	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**49**	**49**	**50**	**50**	**51**	**51**	**52**	**52**

Table 10 - Eastern Cape demand

Demand trajectory summary:

- Industry: 6 PJ/year from 2035, GDP-linked growth thereafter.
- Private Power: Marginal allocations aligned with limited industrial base (~0,3 PJ/year).
- IPP/IPPPP Power: 32 PJ/year from 2035 (1 GW).
- Power Conversions: Dedisa peaker converted to LNG from 2035, with an assumed demand of around 11 PJ/year.

The Eastern Cape's gas future is LNG anchored and subject to uncertainties in infrastructure delivery and government-driven planning through the CEF. While industrial and private demand remain small, IPP procurement and Dedisa conversion provide meaningful anchor loads.

The development of LNG infrastructure in the Eastern Cape must be weighed carefully against the economics of costly LNG imports, infrastructure development requirements, regional socio-economic objectives, and South Africa's broader gas balance. Ultimately, the Eastern Cape offers diversification, optionality, and regional socio-economic impact, but its long-term viability depends on alignment with national strategy and the parallel development of West Coast Gas. In aggregate, the province's future demand is expected to stabilise at around 50 PJ/year once all sectors are considered.

Industrial sector

Industrial gas demand in the Eastern Cape is expected to remain limited, reflecting the region's modest industrial base.

Key assumptions include:

- Baseline demand: Approximately 6 PJ/year in the Coega Industrial Development Zone, beginning from 2035 once LNG import infrastructure and access are assumed to be operational.
- Growth trajectory: Demand grows incrementally in line with GDP from 2034 onwards.

> **Outlook**
> Industrial demand in the Eastern Cape is modest but strategically significant, anchoring local LNG uptake in the Coega region.

Private power sector

Private embedded power generation in the Eastern Cape is expected to be limited due to the smaller scale of industrial and mining operations compared to Gauteng, Mpumalanga, and KZN.

Key assumptions include:

- Marginal allocation: The Eastern Cape receives a small share of the 150 MW/year national embedded power assumption, resulting in marginal additional demand of around 0,32 PJ/year in 2035 to 2,5 PJ/a in 2042.
- Timing: Demand commences with LNG availability from the mid-2030s.

> **Outlook**
> Private power demand remains small but contributes to diversification of the provincial energy mix.

IRP/IPPPP Gas-to-Power sector

The primary driver of gas demand in the Eastern Cape is expected to come from large-scale power generation under the Integrated Resource Plan (IRP) and Independent Power Producer Procurement Programme (IPPPP).

Key assumptions include:

- Initial allocation: 1 GW (~32 PJ/year) of LNG-fired capacity is assumed from 2035.
- Load factor: Assumes a 50% load factor.

> **Outlook**
> IPP allocations are the cornerstone of LNG demand in the Eastern Cape, creating a structural anchor for infrastructure development. However, their delivery depends on procurement schedules, investment decisions, and LNG supply security.

Power conversions

In addition to new generation, the Eastern Cape has potential to repurpose existing power assets. Notably, Dedisa peaking plant, currently diesel-fired, is considered a candidate for LNG conversion once supply becomes available.

Key assumptions include:

- Conversion potential: Dedisa could be switched from diesel to LNG, improving efficiency and lowering costs, with an assumed demand of approximately 11 PJ/year from 2035.
- Timing: Conversion aligned with LNG terminal readiness.

> **Outlook**
> Converting Dedisa provides a cost-effective pathway to diversify the regional power mix and reduce reliance on expensive diesel.

3.6. Regional gas demand outlook – Northern Cape

Introduction and regional outlook

The Northern Cape presents a unique opportunity within South Africa's gas master plan. Its significance arises not from current consumption, but from its potential to become a major gas-to-power hub if West Coast Gas is monetised in South Africa. Geographically, the province sits along the logical corridor of a future pipeline linking the West Coast to the Western Cape and onward to Gauteng. This position, combined with ongoing renewable energy and transmission developments, gives the Northern Cape a strategic role in shaping South Africa's long-term energy mix.

NORTHERN CAPE	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042
IND																		
PWR PVT																		
PWR IRP/IPPPP (WCG)											32	80	80	112	112	144	144	144
PWR CONV																		
LOG, MIN & SSLNG (LNG)																		
Demand Total	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**32**	**80**	**80**	**112**	**112**	**144**	**144**	**144**

Table 11 - Northern Cape demand

Demand trajectory summary:

- IRP/IPPPP Power: 32 PJ/year from 2035 (1 GW), scaling to ~144 PJ/year (4,5 GW) from 2039.
- Industrial and logistics demand: Currently negligible, with growth potential only if additional industrial hubs emerge alongside gas and renewable development.

The Northern Cape is positioned to become a national energy hub if West Coast Gas is monetised. Its geographic location along the pipeline corridor, combined with significant renewable energy and transmission developments, could establish South Africa's lowest-cost, most diversified energy base.

Conclusion: The Northern Cape's gas-to-power opportunity is dependent on the economic imperative to monetise regional gas from the West Coast. West Coast Gas is therefore central to South Africa's long-term gas master plan, with the Northern Cape playing a pivotal role in delivering affordable, reliable, and diversified energy for the country.

Gas-to-Power potential

The Northern Cape's demand outlook is primarily driven by large-scale power generation anchored on West Coast Gas. In addition, the province is already co-developing significant renewable energy and transmission infrastructure, which, in combination with gas, could create South Africa's **lowest-cost energy base**.

Key assumptions include:

- Initial capacity: From 2035, 1 GW of gas-fired capacity (~32 PJ/year) is assumed to come online, aligned with the expected availability of West Coast Gas.
- Expansion: Capacity scales to 3,5 GW (~112 PJ/year) from 2036, and approximately 4,5 GW (~144 PJ/year) from 2040.
- Integration with renewables: Gas-to-power development complements the province's strong renewable base (solar PV and wind), supported by associated transmission expansion.

Outlook

The Northern Cape's gas-to-power trajectory is entirely contingent on West Coast Gas being monetised domestically. If realised, the region could emerge as the anchor for new low-cost energy generation, combining renewable resources with flexible gas-fired power.

3.7. Regional gas demand outlook – Western Cape

Introduction and regional outlook

The Western Cape represents the largest current supply deficit for gas in South Africa, with significant unserved demand across multiple sectors. Key shortfalls include the PetroSA GTL plant in Mossel Bay, industrial users still reliant on coal and oil, and the large Ankerlig power station. The region's outlook is closely aligned with the onset and availability of West Coast Gas from 2035.

The Western Cape is uniquely positioned to leverage both West Coast Gas and the Luiperd–Brulpadda field, building on sunk infrastructure at Mossel Bay. This opportunity could be realised through key gas-to-power decisions that enable monetisation of Luiperd–Brulpadda. LNG at Saldanha is excluded from this roadmap, as the economics are unlikely to be competitive against regional gas.

WESTERN CAPE	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042
IND												30	30	31	32	32	33	34
Petrochem																		
Industry (WCG)											29	30	30	31	32	32	33	34
PWR PVT (WCG)											3	3	4	5	6	7	8	9
PWR IRP/IPPPP (WCG/11b 12b)											32	72	72	72	72	72	72	72
PWR CONV IRP DIESEL (WCG/11b 12b)											67	67	67	67	67	67	67	67
LOG, MIN & SSLNG (LNG)											1	1	1	1	1	2	2	2
Demand Total	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**103**	**173**	**175**	**177**	**178**	**180**	**182**	**184**

Table 12 - Western Cape demand

Demand trajectory summary:

- Industrial: 29 PJ/year from 2035, GDP-linked growth thereafter, to 34 PJ/a in 2042
- Petrochemicals: Excluded at this stage, but upside potential at PetroSA GTL remains.
- Private Power: ~3 PJ/year from 2035 to 9PJ/a in 2042.
- IRP/IPPPP Power: 30 PJ/year from 2035 (1 GW), scaling to ~72 PJ/year by 2036 (2,25 GW).
- IRP Power Conversions: ~67 PJ/year from 2035 (Ankerlig + Gourikwa) (2,1 GW).
- Logistics: Marginal but steady incremental demand.

The Western Cape's gas demand profile highlights both the largest unserved deficit today and the largest growth potential post-2035. Industrial, power generation, and conversion demand combine to create a robust demand centre that can support West Coast Gas monetisation and the potential development of Luiperd–Brulpadda.

The Western Cape has the potential to become a cornerstone of South Africa's gas economy if West Coast Gas is mobilised. With combined demand exceeding 180 PJ/year post-2040, the region's outlook is central to the country's long-term gas master plan. Strategic decisions on Ankerlig, Gourikwa, Mossel Bay, and Saldanha will be decisive in securing this opportunity.

Industrial sector

Industrial gas demand is concentrated in **Saldanha, Atlantis, and Bellville South**, where current demand is estimated at 29 PJ/year. From 2035, once West Coast Gas becomes available, this demand is assumed to grow incrementally in line with GDP to around 34 PJ/a in 2042.

> **Outlook**
> Industrial demand will provide a strong anchor for West Coast Gas, displacing coal and oil in the regional economy.

Petrochemical sector

The PetroSA GTL plant at Mossel Bay represents a large potential demand centre. However, due to uncertainty around restart timelines and long-term viability, **no demand allocation is included in this roadmap** at this stage. The facility remains a major upside risk for future gas demand in the Western Cape.

Power sector

Private embedded generation is assumed in line with the national 150 MW/year allocation, with the Western Cape accounting for roughly **33% (~50 MW/year)**. This equates to approximately 3 PJ/year from 2035 to 9 PJ/a in 2042, aligned with the availability of West Coast Gas.

> **Outlook**
> Private power demand will expand steadily alongside industrial growth, reinforcing the business case for West Coast Gas.

IRP/IPPPP Gas-to-Power sector

The Western Cape is expected to play a critical role in national gas-to-power generation through IRP/IPPPP allocations.

Key assumptions include:

- Mossel Bay plant: From 2035/6, ~1,25 GW of capacity (~40 PJ/year) is developed.
- Saldanha: From 2035/6, ~1 GW is added (~32 PJ/year).

> **Outlook**
> Gas-to-power projects in Mossel Bay and Saldanha will anchor the Western Cape's role in the long-term energy mix, contingent on West Coast Gas being mobilised representing around 139 PJ/year from 2035.

Power conversions

Conversion of existing Eskom assets is expected to be a major catalyst for regional gas demand:

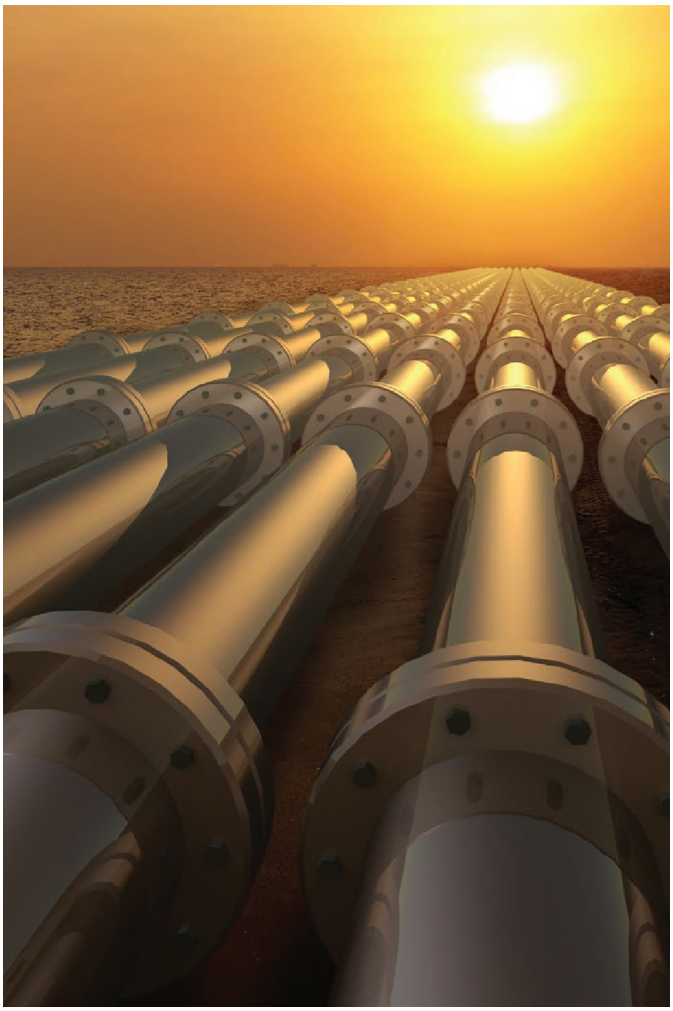
- Ankerlig: Conversion of the 1,350 MW station to gas at a 50% load factor equates to ~42 PJ/year.
- Gourikwa: Conversion of the 750 MW station to gas at a 50% load factor equates to ~24 PJ/year.

Total power conversion demand: ~64 PJ/year from 2035 onwards.

> **Outlook**
> Decisions around Ankerlig and Gourikwa are pivotal, with the potential to unlock significant demand and underpin the bankability of regional gas infrastructure.

Logistics sector

Distributed LNG in logistics is assumed in line with other provinces. Demand remains modest but contributes incremental diversification to the Western Cape's gas profile with about 2 PJ/a by 2040.



04 NATIONAL GAS SUPPLY OUTLOOK

4.1. Introduction

South Africa's ability to meet its long-term gas demand depends on a **diversified and balanced supply portfolio** that manages cost, supports economic development, and ensures sustainability. The supply outlook reflects the decline in legacy Sasol gas resources and the need to transition towards LNG and regional gas developments. This chapter sets out a potentially optimal supply pathway, trending the known decline in existing supply and overlaying the new sources required to close the supply gap.

SOUTH AFRICA SUPPLY MIX BY 2042	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042
Sasol MRG	21	21	21	68	68	23	23	23	23	23	23	23	23	23	23	23	23	23
Sasol Pande/Temane NG	167	167	167	120	120	120	84	59	41	29								
Mozambique LNG (KZN)						23	24	24	25	25	26	26	27	27	28	29	29	30
Mozambique LNG (GP & MPU)						121	176	205	210	214	218	221	224	228	231	235	238	242
Mozambique LNG						144	199	229	234	239	243	247	251	255	259	263	268	272
Richards Bay LNG (KZN)						130	152	154	156	158	160	162	164	167	169	171	173	175
Coega LNG (EC)											49	49	50	50	51	51	52	52
West Coast Gas (WC)											39	109	111	113	114	116	118	120
West Coast Gas (NC)											32	80	80	112	112	144	144	144
West Coast Gas (GP)											185	186	187	188	190	194	198	205
West Coast Gas											256	375	378	413	417	454	460	469
ss LNG (Renergen/others)	1	2	3	4	12	12	12	12	12	13	14	15	16	17	18	19	20	21
11b/12b NG											64	64	64	64	64	64	64	64
Gas availability	**189**	**190**	**191**	**192**	**200**	**430**	**470**	**477**	**467**	**463**	**809**	**936**	**946**	**989**	**1000**	**1045**	**1059**	**1076**

Table 13 - South Africa supply sources

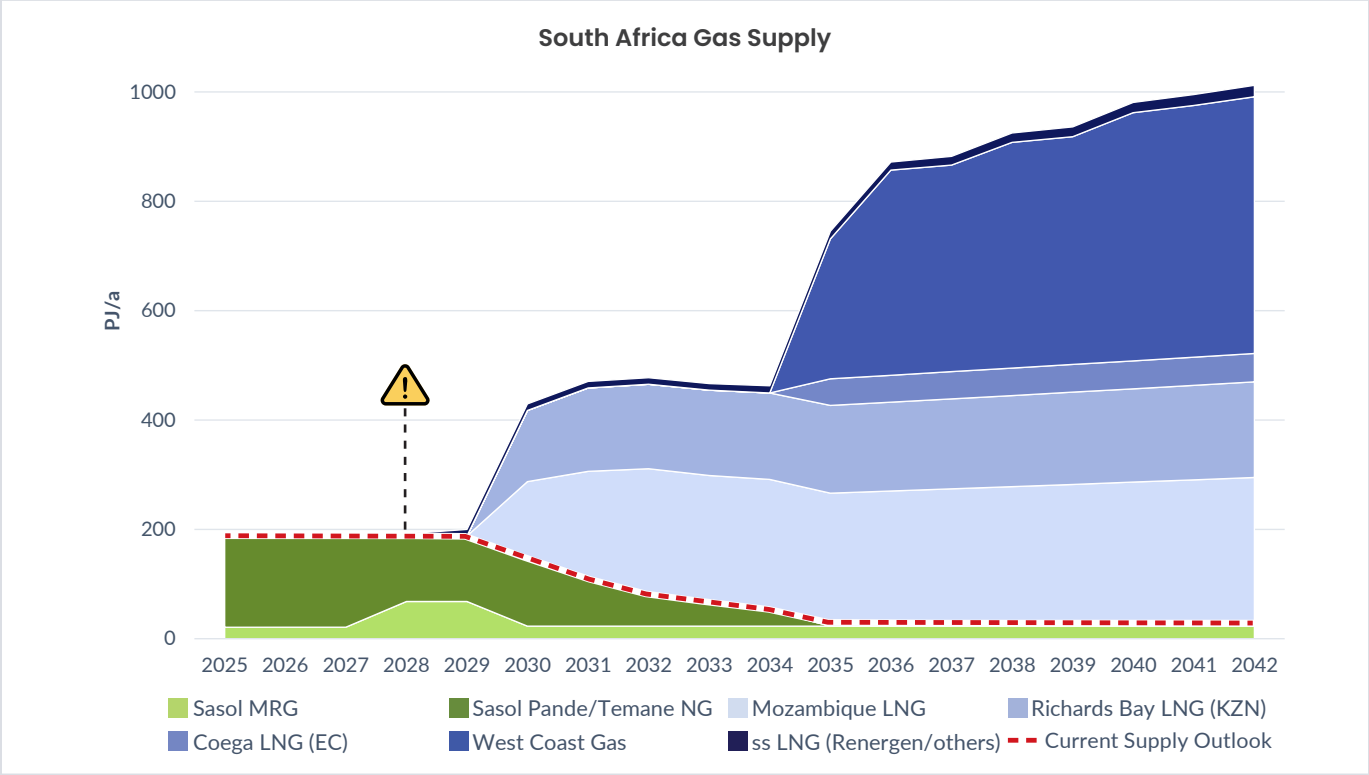


Figure 4 - South Africa gas supply profile 2025-2042

4.2. Key supply projects

Sasol Gas (MRG and Pande/Temane)

Supply Notes:

- Supply from Mozambique's Pande/Temane fields steadily declines to zero in 2034.
- Sasol's MRG remains steady throughout.
- From 2028 to 2030, Sasol may substitute natural gas from Pande/Temane with MRG.
- From 2030, no volumes are available to third-party customers, with remaining supply prioritised for Sasol's internal needs.

Mozambique LNG

Supply Notes:

- Aggregate LNG throughput rises from 144 PJ/year in 2030 to approximately 263 PJ/year by 2042.
- Mozambique will supply LNG from only one terminal being either Inhassoro or Matola
- Provides critical bridging supply for Gauteng, Mpumalanga and KZN.

Richards Bay LNG (KwaZulu-Natal)

Supply Notes:

- Initial imports of around 130 PJ/year from 2030, increasing to about 175 PJ/year by 2042.
- Serves industrial users, private power, and IPP allocations in KZN.

West Coast Gas

Supply Notes:

- A transformational development providing 285 PJ/year from 2035, scaling up to approximately 469 PJ/year by 2042.
- Supplies split across Gauteng/Mpumalanga, Northern Cape, and Western Cape, anchoring South Africa's long-term energy strategy for power, mining and industrial sectors.

Coega LNG (Eastern Cape)

Supply Notes:

- If viable, begins at around 50 PJ/year from 2034.
- Anchored by IPP power and industrial demand in the Coega IDZ.

Small-Scale Distributed LNG

Supply Notes:

- Expands from 1 PJ/year in 2025 to about 20 PJ/year by 2042.
- Focused on logistics, trucking corridors, and smaller industrial offtakers.

Luiperd–Brulpadda (Southern Cape)

Supply Notes:

- Assumed to deliver around 65 PJ/year from 2036.
- Integrated with Mossel Bay infrastructure, supporting petrochemicals and regional power generation.

Table 14 - Key supply projects

The combination of these seven supply sources suggests South Africa can meet and sustain national gas demand beyond 2030. The portfolio reflects a progressive transition from reliance on declining Sasol gas to a mix of imported LNG and domestic regional gas, with West Coast Gas and Luiperd–Brulpadda emerging as the backbone of long-term security.

SOURCE	SUPPLY CAPABILITY
Sasol Pande Temane	Phased-out
Sasol MRG (Sasol consumption)	~25 PJ/year
Mozambique LNG	~270 PJ/year
Richards Bay LN	~175 PJ/year
West Coast Gas	~470 PJ/year
Coega LNG	~50 PJ/year
Distributed LNG	~20 PJ/year
11B/12B (Luiperd–Brulpadda)	~65 PJ/year

Table 15 - Supply mix by 2042

South Africa's future gas supply will rely on **seven key sources**, with the transition anchored in two phases:

- Short-term (2030–2035): Reliance on Mozambique and Richards Bay LNG to bridge the gas cliff.
- Long-term (post-2035): West Coast Gas and 11B/12B (Luiperd–Brulpadda) become central to sustaining industry, mining, and power generation at globally competitive costs.

With these sources, South Africa appears capable of sustaining its gas economy, shifting from dependence on imported LNG to a more resilient and cost-effective mix of regional and domestic gas. This supply transformation will be pivotal in ensuring the economic survival of industry and mining, while unlocking lower-cost, cleaner power for the nation.

05 POLICY POSITIONS

Policy positions required to deliver the Gas Roadmap

The preceding sections establish the demand and supply fundamentals that define South Africa's gas future. Translating this analytical framework into outcomes requires a corresponding set of public policy commitments.

These are underpinned by two foundational prerequisites.

- First, a National Gas Task Team must be established in the Office of the Presidency, with a statutory mandate, an allocated budget, and convening power across all relevant departments.
- Second, binding demand-node commitments, encompassing power-purchase agreements, industrial offtake, and anchor-load designations – must be secured to provide the bankable demand signal that infrastructure investors require.

With these prerequisites in place, the following ten policy positions define the enabling framework required to deliver the Gas Roadmap.

No.	Policy position	Policy statement	KEY INSTRUMENTS / ACTIONS	INTENDED IMPACT ON GAS ROADMAP
1	Strategic National Infrastructure Designation	Gas supply, LNG terminals, pipelines, storage and gas-to-power infrastructure designated Strategic National Economic Infrastructure	Cabinet designation; accelerated permitting; central coordination	Elevates gas to national economic priority and enables accelerated execution
2	Presidency-Housed National Gas Task Team (NGTT)	Establish statutory NGTT within Presidency with public–private mandate to execute emergency mitigation and long-term strategy	NGTT charter; PMO; quarterly reporting; inclusion of private sector and aggregators	Creates single execution vehicle to align fiscal, regulatory and infrastructure decisions

Table 16.1 – Strategic Policy Foundations

No.	Policy position	Policy statement	KEY INSTRUMENTS / ACTIONS	INTENDED IMPACT ON GAS ROADMAP
3	National Gas Demand Aggregation & Sequencing Policy	Adopt formal demand stack consolidating industrial and power demand into sequenced anchor loads	Section 34 determinations; Eskom/ IPPs alignment; industrial aggregation recognition	Provides bankable anchor loads for LNG, domestic and regional gas and associated infrastructure
4	National Gas Infrastructure Corridor & Demand Node Policy	Designate priority corridors and nodes: Rompco (Gauteng/ Mpumalanga), Richards Bay (KZN), West Coast (Northern & Western Cape), Southern & Eastern Cape, Northern Cape node	Spatial infrastructure roadmap; corridor sequencing; integrated transmission planning	Aligns gas-to-power geography and placement of gas-to-power plants with the required gas infrastructure developments to unlock regional industrialisation an optimise access to gas energy in South Africa.

Table 16.2 – Demand and Infrastructure Alignment Policies

No.	Policy position	Policy statement	KEY INSTRUMENTS / ACTIONS	INTENDED IMPACT ON GAS ROADMAP
5	National Gas Fiscal & Risk-Sharing Framework	Adopt layered PPP fiscal support model including guarantees and viability gap funding	Treasury framework; sovereign caps; blended finance structures	Reduces cost of capital and enables FID
6	Recognition of Transactional Gas Aggregators	Formally recognise qualified gas aggregators as approved contracting vehicles	Regulatory recognition; open-access framework	Creates scale and improves supplier negotiation leverage

Table 16.3 – Fiscal and Commercial Framework Policies

No.	Policy position	Policy statement	KEY INSTRUMENTS / ACTIONS	INTENDED IMPACT ON GAS ROADMAP
7	Regional Gas Integration Policy	Adopt bilateral integration strategy with Mozambique and Namibia	Ministerial working groups; tariff harmonisation; joint feasibility funding	Diversifies supply and strengthens regional integration
8	Alignment of National Planning Instruments	Mandate alignment between IRP, IEP, Gas Master Plan and Infrastructure Roadmap	Annual publication compliance; cross-department coordination	Improves regulatory certainty and investor confidence
9	Integration into Just Energy Transition & Industrial Strategy	Recognise gas as complement to renewables and enabler of coal repowering and industrial growth	Coal-to-gas repowering policy; localisation frameworks	Balances decarbonisation with affordability and GDP growth

Table 16.4 – Regional and Planning Integration Policies

No.	Policy position	Policy statement	KEY INSTRUMENTS / ACTIONS	INTENDED IMPACT ON GAS ROADMAP
10	Specialist Energy Infrastructure Judicial Review Mechanism	Establish specialist Energy Infrastructure Tribunal or technical court division	Fast-track adjudication; technical assessors; defined appeal thresholds	Reduces litigation risk premiums and accelerates infrastructure certainty

Table 16.5 – Legal and Institutional Certainty Policies

06 CONCLUSION

South Africa's gas future rests on two equal imperatives:

1. An executable and bankable solution for Mozambique LNG before the end of 2026 to bridge the cliff, as well as
2. Finding ways to accelerate West Coast Gas development to secure long-term sustainability.

Together, these sources could deliver more than **600 PJ/year** by the early 2040s. Richards Bay LNG and Luiperd–Brulpadda provide diversification and resilience, but the backbone of the master plan is immediate action on Mozambique LNG and West Coast Gas.

Failure to deliver by 2026–2027 will risk industrial collapse, mining contraction, and power insecurity. With decisive political leadership and coordination, South Africa can avert the cliff and build a resilient, diversified, and cost-effective gas economy.

A viable national gas programme requires a shift from fragmented project activity to integrated infrastructure delivery. This approach requires:

- A defined national gas infrastructure roadmap that consolidates and sequences anchor demand – specifically identifying Eskom, independent power producers (IPPs), Sasol, and the industrial sector as the key demand-side protagonists and aligns delivery schedules with infrastructure development timelines and funding milestones.
- An infrastructure risk allocation and fiscal mitigation framework through a structured PPP model, enabling long-term investment via fiscal tools (e.g. guarantees, viability gap funding, credit support).
- A review of the regulatory and process framework for gas exploration activities.

Gas as an engine of industrial growth

Gas energy has the potential to play the role in industrial growth that coal energy did in the 1950s. If we use energy to get our economy to grow, we can address unemployment, and gas can be a key part of this. The country can plan for industrial and economic growth, as well as social development based on a stable and secure future gas supply. IGUA-SA stands ready and eager to continue its role as an enabler of the partnerships and projects that will unlock this future.

Natural gas will be needed to provide stable, lower-emission baseload electricity to support an expanding renewables programme. The medium-to-long-term gas demand growth path is dominated by gas-to-power applications, including the deployment of new power stations and the conversion of old stations. Gas-energy security and access to gas energy has significant potential to support growth within the context of a net-zero emissions economy by 2050.

West Coast gas economics have the potential to reignite industrial and mining development for SA.

- LNG: long term price trajectory at an average of USD11/GJ delivered inland and USD10/GJ delivered in coastal areas.
- WCG: long term price average of USD6-8/GJ delivered at Sasolburg and Cape Town/Saldanha.

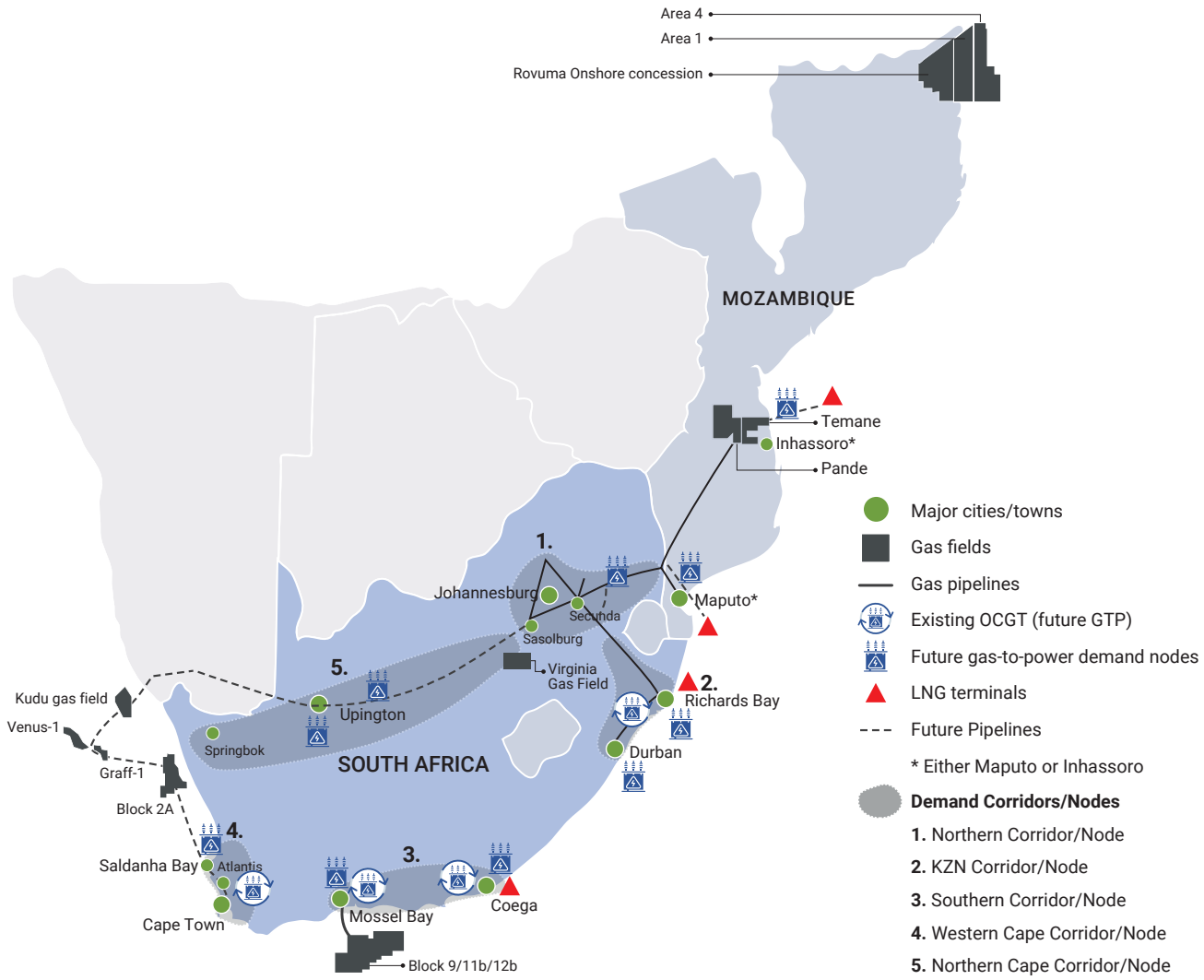


Figure 5 - Gas supply and demand map beyond 2035

Given the country's current energy challenges, it is vital that South Africa accelerates its own energy policies and strengthens its energy independence. South Africa is not immune to global policy shifts in energy, and we have seen how quickly geopolitical upheaval can reconfigure global energy markets. Developing domestic sources of natural gas could see us secure a sustainable, independent, stable, affordable energy mix. It would lower prices for consumers, increase our regional competitiveness, positively impact our balance of payments, and bolster our sovereignty.

Domestic gas is not a solution for the gas cliff

Bulk domestic gas exploration remains in its infancy – exploration wells are being drilled, but no commercial discoveries have been developed, permitted, or monetised. As such, domestic gas cannot avert the gas cliff. Instead, it should be understood as a complementary future supply to an expanding gas economy, not a substitute for near-term LNG.

Building the long-term gas energy security

Beyond the gas cliff, if we are able to develop and implement an integrated energy plan, South Africa stands to benefit from the development of substantial regional gas deposits. Once adequate short-term supply has been secured to avoid industrial collapse, the country's priority must be to extend those same success factors — clear political sponsorship, fiscal support frameworks, and coordinated demand — into the medium term to achieve long-term energy security.

The fundamental building blocks for this phase mirror those of the short term: demand must be carefully sequenced and stacked between gas-to-power developments, geographic locations, and industrial users to unlock the full economic potential of the gas value chain. Power generation (both new capacity and conversions) must be synchronised with industrial offtake so that import terminals, pipelines, and storage assets are developed and utilised efficiently. A well-sequenced national demand plan will allow South Africa to align infrastructure development timelines, fiscal frameworks, and financing milestones with available supply from Mozambique LNG, Richards Bay LNG, South Coast and, ultimately, West Coast Gas.

Demand alignment and fiscal integration are therefore critical success factors for the medium term. The fiscal and risk-sharing frameworks introduced to support short-term LNG contracting must evolve into durable instruments that can sustain investment in domestic and regional infrastructure. Public-private fiscal tools — including guarantees, viability-gap funding, and long-term offtake commitments — will be essential to mobilise capital and underpin commercial certainty.

Strengthening governance and institutional capacity

Equally important, the institutional structures established to address the gas cliff — notably a permanent National Gas Task Team and dedicated Project Management Office — must be retained and strengthened as enduring coordination mechanisms. These structures will ensure continuous oversight, alignment between departments and industry, and the ability to translate policy intent into executable action through clear governance, timelines, and accountability. By institutionalising these mechanisms, South Africa can move from crisis response to structured, long-term energy planning.

West Coast Gas: The major economic opportunity

South Africa's West Coast, in particular, represents a transformative opportunity for sustainable economic and industrial growth. Namibia is a front-runner in developing Orange Basin resources, and South Africa should expand its planning to incorporate regional cooperation and shared infrastructure. Economic modelling suggests that if West Coast Gas can be delivered at competitive prices around $7 per gigajoule, the project could add between 1.5 % and 3 % to South Africa's annual GDP growth by the late 2030s.

Turning readiness into execution

Natural gas will remain indispensable for providing stable, lower-emission baseload electricity to complement renewables. By sustaining the key enablers established in the short term — political sponsorship, sequenced demand, enduring institutional structures, and applied fiscal frameworks — South Africa can secure a medium-term pathway that stabilises its energy supply, drives industrial expansion, and positions gas as a central pillar of its long-term economic transformation.

Industry stands ready – with aggregated demand, commercial momentum, and execution capability – but we cannot move further without defined government alignment and coordinated LNG demand sequencing.

We know where we want to be. But as it stands, major infrastructure projects remain in development without binding construction timelines. Domestic gas exploration projects have stalled due to environmental litigation and regulatory delays. Crucially, there is no emergency action plan to bridge the gas supply gap. For industrial gas users, the absence of near-term certainty is especially destabilising, with rising concerns about price volatility, reliability, and security of supply.

South Africa has the building blocks for a viable gas future: domestic reserves, regional partnerships, industrial and power demand for gas, and the potential to attract investment. Finalising energy policy and regulatory instruments, fast-tracking LNG infrastructure, and creating risk-sharing models are non-negotiables if the country is to stabilise its gas supply and protect its industrial economy.

IGUA-SA

Industrial Gas Users Association
- Southern Africa

Website: igua-sa.org

ADVOCATING FOR A COMPETITIVE, GAS-POWERED FUTURE

IGUA-SA contact details

Jaco Human – Executive Officer
email: jaco.human@igua-sa.org